

6406534213012. ✖ $W_3 = \{(x, y, z) \mid x + y - z = 0, x - y = 0\}$

6406534213013. ✔ $W_4 = \left\{ \begin{bmatrix} a & b \\ c & d \end{bmatrix} \mid a + c = 0, b + d = 0 \right\}$

Corporate Finance

Section Id :	64065387579
Section Number :	2
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	36
Number of Questions to be attempted :	36
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653194127
Question Shuffling Allowed :	No

Question Number : 38 Question Id : 6406531250291 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406534213014. ✓ YES

6406534213015. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653194128

Question Shuffling Allowed :

Yes

Question Number : 39 Question Id : 6406531250292 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Diversification works well if two investment opportunities always move in the opposite direction.

Options :

6406534213016. ✓ TRUE

6406534213017. ✗ FALSE

Question Number : 40 Question Id : 6406531250293 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

If a project has a negative beta with respect to the market, it means that it tends to go up when market goes down.

Options :

6406534213018. ✓ TRUE

6406534213019. ✗ FALSE

Question Number : 41 Question Id : 6406531250294 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Holding everything else constant, risk-averse investors would prefer to pay more for the assets that have higher market betas.

Options :

6406534213020. ✗ TRUE

6406534213021. ✓ FALSE

Question Number : 42 Question Id : 6406531250295 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

According to capital asset pricing model, risk premia will be proportional to exposure to systematic risk and independent of firm-specific risk.

Options :

6406534213022. ✓ TRUE

6406534213023. ✗ FALSE

Question Number : 43 Question Id : 6406531250296 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Security market line graphs a relationship between the expected rate of return of a project and its beta.

Options :

6406534213024. ✓ TRUE

6406534213025. ✗ FALSE

Question Number : 44 Question Id : 6406531250297 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Overpriced stocks would lie below the security market line.

Options :

6406534213026. ✓ TRUE

6406534213027. ✗ FALSE

Question Number : 45 Question Id : 6406531250298 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The efficient-market hypothesis says that financial markets are effective in processing and reflecting all available information.

Options :

6406534213028. ✓ TRUE

6406534213029. ✗ FALSE

Question Number : 46 Question Id : 6406531250299 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The intrinsic value of at-the-money call options is zero.

Options :

6406534213030. ✓ TRUE

6406534213031. ✗ FALSE

Question Number : 47 Question Id : 6406531250300 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The value of put option increases with stock price.

Options :

6406534213032. ✖ TRUE

6406534213033. ✔ FALSE

Question Number : 48 Question Id : 6406531250301 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A call option has a negative delta while a put option has a positive delta.

Options :

6406534213034. ✖ TRUE

6406534213035. ✔ FALSE

Question Number : 49 Question Id : 6406531250302 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A call option holder is obliged to purchase the asset for a specified price on or before the expiration date.

Options :

6406534213036. ✖ TRUE

6406534213037. ✔ FALSE

Question Number : 50 Question Id : 6406531250303 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A European option can be exercised before the expiration date.

Options :

6406534213038. ✖ TRUE

6406534213039. ✔ FALSE

Question Number : 51 Question Id : 6406531250304 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Financial trilemma states that an economy cannot achieve financial stability, total national control over financial safeguard policy and free capital mobility simultaneously.

Options :

6406534213040. ✔ TRUE

6406534213041. ✖ FALSE

Question Number : 52 Question Id : 6406531250305 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

An asset is considered safe if it gives the holder different payoffs across a wide variety of possible future scenarios.

Options :

6406534213042. ✖ TRUE

6406534213043. ✔ FALSE

Question Number : 53 Question Id : 6406531250306 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Sharpe ratio is defined as the ratio of expected return of the asset to the standard deviation of excess returns.

Options :

6406534213044. ✖ TRUE

6406534213045. ✔ FALSE

Sub-Section Number :

3

Sub-Section Id :

640653194129

Question Shuffling Allowed :

Yes

Question Number : 54 Question Id : 6406531250307 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

There is a risky asset that has an expected rate of return of 15% and a standard deviation of 10%. If the risk-free rate of return is 4%, then what is the slope of capital allocation line passing through the given risky asset?

Options :

6406534213046. ✖ 1.5

6406534213047. ✔ 1.1

6406534213048. ✖ 1.0

6406534213049. ✖ 0.4

Question Number : 55 Question Id : 6406531250308 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Sarita is considering investing in an opportunity that promises to pay Rs 5,000 in one year, Rs 10,000 in two years and Rs 20,000 in three years. If the prevailing constant rate of return is 10%, then what is maximum price that Sarita should agree to pay for the project? (Round off to the nearest integer)

Options :

6406534213050. ✖ Rs 35,000

6406534213051. ✔ Rs 27,836

6406534213052. ✖ Rs 24,174

6406534213053. ✖ Rs 20,000

Question Number : 56 Question Id : 6406531250309 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose that the interest rate at a point of time in Thailand is 9%, and the interest rate at that point of time in China is 4%. What is the expected rate of appreciation of THB to CNY exchange rate at that point of time? (Note: Currency of Thailand is THB and currency of China is CNY)

Options :

6406534213054. ✔ -4.59%

6406534213055. ✖ -2.85%

6406534213056. ✖ 2.85%

6406534213057. ✖ 4.59%

Question Number : 57 Question Id : 6406531250310 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The price of a one-year European call option on a non-dividend-paying stock with a strike price of Rs 120 is Rs 15. The stock price is Rs 115, and the annual risk-free rate of return is 8% (continuously compounded). What is the price of a one-year European put option on the same stock with a strike price of Rs 120?

Options :

6406534213058. ✖ Rs 2.45

6406534213059. ✖ Rs 6.24

6406534213060. ✔ Rs 10.77

6406534213061. ✖ Rs 16.37

Question Number : 58 Question Id : 6406531250311 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose that in the Black-Scholes pricing formula for a put option, we have $N(d_1)=0.4$ and $N(d_2)=0.7$. If the stock price increases by Rs 1, then what will be the change in the price of the put option?

Options :

6406534213062. ✖ The put option price increases by Rs 1.

6406534213063. ✖ The put option price increases by Rs 0.6.

6406534213064. ✔ The put option price decreases by Rs 0.6.

6406534213065. ✖ The put option price decreases by Rs 0.4.

Question Number : 59 Question Id : 6406531250312 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A company has two divisions: production division and sales division. The production division has a beta of 1.2 and the sales division has a beta of 1.8. The production division has the 70% of company's assets and 30% of company's assets are in sales division. What is the company's overall beta?

Options :

6406534213066. ✖ 1.08

6406534213067. ✔ 1.38

6406534213068. ✖ 1.58

6406534213069. ✖ 1.88

Question Number : 60 Question Id : 6406531250313 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose the risk-free rate of return is 2% and the expected market return is 10%. If the beta of an asset X is 1.5, then according to CAPM, what is the expected rate of return on asset X?

Options :

6406534213070. ✖ 8%

6406534213071. ✖ 10%

6406534213072. ✔ 14%

6406534213073. ✖ 18%

Question Number : 61 Question Id : 6406531250314 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A risky asset has an expected rate of return of 12% and standard deviation of the rate of return of 20%. If the Sharpe ratio of this risky asset is 0.5, then what is the prevailing risk-free rate of return?

Options :

6406534213074. ✔ 2%

6406534213075. ✖ 4%

6406534213076. ✖ 6%

6406534213077. ✖ 8%

Question Number : 62 Question Id : 6406531250315 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A one-year call option with a strike price of Rs 20 is selling at a call premium of Rs 2. A one-year put option with a strike price of Rs 20 is selling at put premium of Rs 1. The current share price is Rs 22. One year later, the share price increases to Rs 25.

Options :

6406534213078. ✖ If you purchase one call option and one put option, then you make a profit of

Rs 5.

6406534213079. ✖ If you purchase one call option and one put option, then you make a profit of Rs 4.

6406534213080. ✖ If you purchase one call option and one put option, then you make a profit of Rs 3.

6406534213081. ✔ If you purchase one call option and one put option, then you make a profit of Rs 2.

Question Number : 63 Question Id : 6406531250316 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Suppose you take a long position in the stock and write a call option on the stock. This strategy is referred to as

Options :

6406534213082. ✔ Covered call

6406534213083. ✖ Protective put

6406534213084. ✖ Straddle

6406534213085. ✖ Strip

Sub-Section Number :

4

Sub-Section Id :

640653194130

Question Shuffling Allowed :

Yes

Question Number : 64 Question Id : 6406531250317 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

Your opinion is that Akola Inc stock has an expected rate of return of 12%. Akola Inc has a beta of 1.6. The risk-free rate of return is 6%, and the expected market rate of return is 10%. According to the capital asset pricing model

Options :

6406534213086. ✔ Akola Inc stock is overpriced.

6406534213087. ✖ Akola Inc stock is underpriced.

6406534213088. ✖ Akola Inc has an alpha of 0.4%.

6406534213089. ✔ Akola Inc has an alpha of -0.4%.

Question Number : 65 Question Id : 6406531250318 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

Cisco Inc. has an expected rate of return of 10% and standard deviation of rate of return of 15%. The expected market return is 6% and the standard deviation of market return is 5%. Cisco Inc. has a correlation coefficient with the market of 0.5. Then,

Options :

6406534213090. ✓ The market beta of Cisco Inc. is 1.5.

6406534213091. ✗ The market beta of Cisco Inc. is 3.

6406534213092. ✓ If the market returns a rate of return of 8%, then one would expect Cisco Inc. to have a rate of return of 13%.

6406534213093. ✗ If the market returns a rate of return of 8%, then one would expect Cisco Inc. to have a rate of return of 16%.

Question Number : 66 Question Id : 6406531250319 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

A trader buys a put option on a stock with a strike price of Rs 48 when the option price is Rs 5. The trader makes a profit when the stock price is

Options :

6406534213094. ✓ Rs 30

6406534213095. ✓ Rs 40

6406534213096. ✗ Rs 50

6406534213097. ✗ Rs 60

Question Number : 67 Question Id : 6406531250320 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

The put-call parity states that

Options :

6406534213098. ✓ The price of a European put option must equal the European call option price plus the present value of the strike price minus the stock price.

6406534213099. ✗ The price of a European call option must equal the European put option price plus the present value of the strike price minus the stock price.

6406534213100. ✗ The price of a European put option must equal the European call option price plus the stock price minus the present value of the strike price.

6406534213101. ✓ The price of a European call option must equal the European put option price plus the stock price minus the present value of the strike price.

Question Number : 68 Question Id : 6406531250321 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

Suppose only one variable is change at a time, then the value of a put option increases with

Options :

6406534213102. ✗ Stock price

6406534213103. ✓ Exercise price

6406534213104. ✓ Volatility of stock price

6406534213105. ✗ Interest rate

Question Number : 69 Question Id : 6406531250322 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

Security A has an expected return of 14% and a standard deviation of 20%. Security B has an expected return of 18% and a standard deviation of 25%. Suppose that the rates of return of the two securities have a correlation coefficient of 0.8. Based on the given information select the correct statements from below.

Options :

6406534213106. ✓ The covariance of security A and security B is 4%.

6406534213107. ✓ If an investor invests half of his wealth in security A and remaining half wealth in security B, then his portfolio's expected return is 16%.

6406534213108. ✓ If an investor invests half of his wealth in security A and remaining half wealth in security B, then his portfolio's standard deviation is 21.36%.

6406534213109. ✓ If an investor wants to build a portfolio with expected rate of return 15%, then he should invest 25% of wealth in security A and remaining 75% wealth in security B.

Question Number : 70 Question Id : 6406531250323 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

The current price of a non-dividend-paying stock is Rs 60. Over the next three months, it is expected to rise to Rs 70 or fall to Rs 50. Assume the risk-free rate is zero. A three-month call option with a strike price of Rs 65 is trading at Rs 5. Select the correct statements based on the given information.

Options :

6406534213110. ✓ The hedge ratio for the given call option is 0.25.

6406534213111. ✗ If share price changes by Rs 1, the call option price changes by Rs 0.5.

6406534213112. ✓ The purchase of one share can be hedged with 4 call options.

6406534213113. ✗ The purchase of one share can be hedged with 2 call options.

Question Number : 71 Question Id : 6406531250324 Question Type : MSQ

Correct Marks : 4 Max. Selectable Options : 0

Question Label : Multiple Select Question

A stock is trading at Rs 100 today. In 6 months, the stock price can either increase to Rs 120 or decrease to Rs 90. The six-month risk-free rate is 2%. A six-month call option has an exercise price of Rs 110. Select the correct statements based on the given information.

Options :

6406534213114. ✓ The risk-neutral probability that stock price increases is 40%.

6406534213115. ✗ The risk-neutral probability that stock price increases is 60%.

6406534213116. ✓ According to risk-neutral approach, the price of call option is Rs 3.92.

6406534213117. ✗ According to risk neutral approach, the price of call option is Rs 5.88.